

The Social Radars

S3: David Rusenko, Founder of Weebly

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Jessica : I'm Jessica Livingston and Carolynn Levi and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years.

Come be a fly on the wall as we talk to founders and learn their true stories. Carolynn, I can't even tell you how excited I am about today's guests because I have not seen today's guests in several years. Today, yes, today we have David Rusenko, CEO and Co-founder of Weebly from winter '07.

Carolynn: A long time ago.

Jessica : Hi David.

Carolynn: Hey David.

David : Hey guys. Good to see you.

Jessica : Nice to see you too. I've honestly been looking forward to this all week.

David : It's been a while.

Jessica : Yeah, I'm just excited to catch up with you, find out what's going on. I'm just going to dive in because there's a lot about Weebly that I'm excited to reminisce about. First of all, I want to talk about your childhood a little bit because you grew up in Morocco.

David : Yes.

Jessica : What was that like and what effect did it have on you?

David : I grew up entirely outside the US. I was born in France, in Paris. When I was seven, our family moved to Casablanca in Morocco and I lived there until I was 18. And so the first time both my parents were American, but we lived overseas, there were teachers and the first time I moved back to the US was to go to college. So it was a different upbringing. I like to think that I got some negotiation skills from Morocco, but it was fun. It definitely brings a different perspective to everything.

Jessica : Would you visit the US growing up?

David : Oh yeah. We would visit. We would typically come back every three years, but what really helped actually was right as I was getting into high school, the internet started getting popular and so I was able to get some of the US culture remotely, which wasn't a thing before the internet. It was like we would watch German MTV and try to suck up as much US culture as we could, but it certainly wasn't readily available like it was through the internet.

Jessica : Then how did you end up at Penn State?

David : Yeah, so my dad went to Penn State. I applied to a bunch of different schools. I applied to Carnegie Mellon, I applied to Princeton. I applied to a bunch of different places, but at the end of the day, there's two things. I got in-state tuition at Penn State, and I paid my way through school, so that was certainly helpful. Penn State has an awesome honors program that I got accepted into. And so it just made so much sense to go to Penn State.

Jessica : How did you get in-state if your parents lived in Morocco?

David : Oh, we could talk about that for 45 minutes, it was a big fight with the state of Pennsylvania.

Jessica : Okay. Make it really quick because now I'm curious, but I don't want to get sidelined on that.

Carolynn: Me too.

David : When you live overseas, you're allowed to maintain a state residency in the US. So that worked for in-state tuition, but to get the student federal loans, you're not allowed to get them until you turn 21 because you're still technically under your parents' jurisdiction and they didn't qualify for the federal loans as in-state. So it was a big fight, but we got there eventually.

Jessica : Okay. Wow. So you went to Penn State in State College PA. Now I went to school at Bucknell, which is not too far from State College, and I just remember them being a big party school. How did you learn anything about startups there? Was there a startup scene in State College PA?

David : There was no startup scene in State College PA when I went to school there. There actually is a startup scene now, interesting enough, but pretty much there were kind of two things that you get at a school like Penn State. There's the academic side and then there's the social education side, and I think both of those are really important and you don't want to necessarily over emphasize one over the other, but I had actually started a company in high school in Morocco, and that was the first company I started.

It was a secure hosted email company. And I think my dad started a school in Morocco, so I think I saw entrepreneurship from him. I always wanted to start companies. I started this company in high school. That's the company that effectively put me through school.

Jessica : You paid for your tuition with money you made from that company?

David : That and DJing professionally were the two things that paid for my tuition.

Jessica : Whoa, whoa.

Carolynn: Wait a minute.

Jessica : Whoa. Yeah, hang on here. You were a professional DJ/

David : In school, I was, yep.

Jessica : I did not ever know that.

Carolynn: At fraternity parties and stuff?

David : Everything, fraternity parties, bars, and one summer I worked one day a week and did weddings, which was wild because I looked about 11 years old.

Jessica : I was going to say.

David : Yeah.

Jessica : Oh my God.

David : And I did a good job. People had fun.

Jessica : What did you like to play?

David : I mean everything. It's pretty much if you're a DJ, it's whatever the crowd likes and whatever's going to get everyone dancing and having a good time. So at that point in time, that was a lot of hip hop.

Jessica : Wait a second. A wave memory is coming back to me. Did you used to have parties where you DJ at Weebly would host these parties in your apartment?

David : Well, the first one was in our apartment. We eventually had an annual Christmas party that was kind of a community event and we'd have a professional artist and I would usually DJ as well. Yeah.

Jessica : So wow, I did not realize that your dad started a school. You had a company that was successful enough in high school that you paid for your college tuition, then you were a DJ and would work weddings once a week or whatever. Now I see where you learned about being a founder. So tell us the story about how you and Chris and Dan started Weebly at Penn State.

David : Yeah, so it was part of a class project to start with. I was running this other company, it wasn't growing a ton, but like I said, it was paying the bills. And I was in a class at Penn State where the goal was just to create a web app and that was kind of an open-ended 400 level class.

It was the spring semester of my junior year, so that would've been around February, 2006. And in the beginning I thought, hey, you know what? All students at Penn State had to create e-portfolios and they're really struggling to do it. I had a friend that I was helping out and she was struggling to do it on FrontPage or Dreamweaver, whatever the tools were at the time, and so I said, "This would be cool," and so I started working on it.

About 48 hours later, I got absolutely obsessed with the problem and said, actually, there's way better way to create websites. Just the concept of web apps was brand new, actually. Gmail had just come out not that long ago. There's some new browser features that were just allowing this to happen, and I just got absolutely obsessed, went into a coding frenzy for the whole semester and then the three weeks after the semester.

And then that whole summer Dan and I worked on it, and then that fall Chris joined up and actually that's when we applied to YC and there's a funny story there about applying an hour before the deadline.

Jessica : I remember this, you saw an article about YC and checked us out and the deadline was in an hour.

David : It was Slashdot, which really dates the story.

Jessica : Yes, indeed.

David : And it was probably around midnight east coast time, and so there's still a couple of hours left, and so I furiously wrote up an application. I had no time to ask Dan or Chris whether to drop out of school and move to San Francisco with me, but I just made some assumptions, submitted the application, called him up the next morning, and Dan, the next morning, Dan said, "Yeah, this sounds like a really good idea. Let me go talk to my parents and I'll call you back in a couple of hours."

And he called me back and said, "Yeah, I'd love to do this." And then I called up Chris and just on the spot, he was like, "Hell yeah, let's do this." So he didn't need much convincing.

Carolynn: This would've been, you would've had to drop out a year senior year of college, because you guys were just wrapping up your junior year, is that right?

David : That's right. We interviewed, it would've been the fall of 2006, so that was the beginning of our senior year, and then we skipped out on the last semester at school.

Jessica : Okay. This is where I remember. I remember your interview distinctly because it was in our Cambridge office. There was a TechCrunch article that morning on Weebly.

David : That's right.

Jessica : Which is pretty good timing because you came and you're sort of like, oh, by the way, TechCrunch wrote about us today, and we were like, oh, wow. This company has a TechCrunch article on them. We were one, impressed with you guys. We were impressed that you had actually built something and had some users, and then the whole TechCrunch thing impressed us even more.

David : We were totally trying to play it cool. We didn't want to pump it too much, but we kind of casually dropped the TechCrunch thing and then I remember seeing, I think it was in Trevor's glasses or maybe it was Robert's glasses, I remember seeing the green glow of the TechCrunch website reflected in his glasses. I was like, all right.

Jessica : From his computer, he was looking it up.

David : From his computer. I was like, all right. They heard what I said.

Jessica : And didn't Paul call you that night to accept you and say, "I'm calling to end your college career?"

David : Yeah, that's exactly what he said.

Jessica : Can you believe that Carolyn? Because I remember, what I remember about the Weeblys is that I was very nervous about them dropping out so close to graduation, and I remember you guys, maybe you were BSing me, but you were like, don't worry, we have all the credits we need. You basically said, we're going to graduate even if we come ... because it was the winter batch Carolyn.

It was like in the middle of their senior year, but they assured me it was no problem for them to graduate. Was that the truth?

David : We did all end up graduating on time. I actually-

Carolynn: On time?

David : No, not all on time. Some of us, not even close to on time. I graduated on time, I had two degrees. I dropped my business degree and just finished my computer science degree and graduated on time. Dan graduated that summer. He had a couple more classes left, and then Chris didn't graduate for a while, but eventually his mom got to him and he graduated about three or four years later.

Jessica : Wow, that's impressive because he was still at Weebly being the CTO.

David : Yeah, he was. So he had to be doing online classes while he was ... funny story about that. I actually gave the commencement speech at that graduation, so I was able to hand him his diploma and shake his hand on stage, which was kind of a cool moment.

Carolynn: I love that. That's awesome.

Jessica : That's horrible.

Carolynn: Yeah.

Jessica : I mean, no offense to you, but you were that famous that you gave the commencement speech three years-

David : I guess so. I don't know.

Jessica : ... after doing YC. I mean, I don't want to be mean, but I mean I can understand if you were like a couple of years ago, I gave the commencement speech, but three years-

David : It wasn't for all of Penn State, it was for my college.

Carolynn: Okay.

Jessica : Okay.

Carolynn: All right, so it wasn't the entire university. That's funny. I was thinking about it too. I was like, wow, only three years later. All right.

Jessica : That makes you feel better.

Carolynn: No, I was thinking it too.

Jessica : Okay, so we accept you. You move out to the Bay Area. I think you moved into San Francisco even though YC was in Mountain View. Tell us what that felt like back in the winter '07, Twitter's not even around yet. You have this company that you're building. What was San Francisco like?

David : It was just a really interesting feeling. I remember it so distinctly. There was still this hangover from the .com days that was there and people were a bit afraid of getting excited about tech all over again. And there was a lot of skepticism, but there were all these little community events that were building up.

There were TechCrunch parties. At that point in time, I guess there was August Capitol and a bunch of people would ... There were all these little community things that were really starting to ... the excitement was starting to grow and we moved to San Francisco at the recommendation of Matt Brezina who basically told us we had to move into this apartment complex in North Beach.

Jessica : Crystal Towers?

David : Crystal Towers.

Jessica : Or the Yscraper? I thought you were living in the Yscraper. That was on my list of questions. Were you in the Yscraper?

David : We were one of the first few to move there at Matt's recommendation, and then eventually, I think we had about a third of the building as startups and it was really, for us, it was just like an extension of college. We would work all night, which was very convenient because no one would bug us. Everyone was asleep.

So we would work, we'd usually work till about eight or nine AM in the morning. We would sleep until we woke up, just until we weren't tired anymore, and then we would just keep working. We worked 24/7 except for Saturday. Our role was we had to take Saturday off, Justin Teve didn't take Saturday off. They kept working straight through seven days, but we felt like it was important to at least catch our breath, have time to watch TV or be lazy or something and recharge.

Carolynn: Do laundry.

Jessica : That's good. Yeah.

David : Exactly. You've got to do it at some point.

Jessica : That's good to have sort of a structured thing like every Saturday. How did you know Matt Brezina? Oh, because he went to Penn State, didn't he?

David : That's right. Paul put us in touch and said, "Matt's the only other YC founder that went to Penn State, you guys should talk."

Jessica : Okay, so at this point, the Y Combinator alumni network, though small, is pretty tight.

David : Yes.

Jessica : And helpful. So would you describe yourself, the three of you, sort of naive at that point? I mean you're still 22, right?

David : Yeah, absolutely. I think we were 21 or 22, absolutely naive, and I think that naivete is positive as you're starting a company. I like to think that entrepreneurs, a lot of people think of entrepreneurs as risk-takers. I actually think that's a bit backwards.

I know a lot of entrepreneurs, some are risk-takers, some are actually quite conservative in taking risks, but entrepreneurs I think are just optimists. They evaluate the risk differently. They don't see risks where everyone does and they tend to assume the odds of it working out are higher than other people assume. And so that in a sense is naive in just how you look at things and you're not pessimistic and you just have this optimism that it's all going to work out.

Jessica : Yeah.

Carolynn: I think it's true.

Jessica : I think it is true, and Carolynn and I were just having a conversation. It was with Kyle Vogt who we've interviewed for this season, and we were basically saying when you first started this whole crazy journey, you were 20, MIT dropout. Now you're 38 thinking of the next thing, what's the difference between younger and older founders? Is being sort of ignorant bliss in a way? You just kind of don't know any better and you keep working on the impossible.

David : Totally. And I think that there's all these things that you don't know that you can do better the second time around, but there's all these things that you do right like just continue to focus on the problem. Talking to customers, just having this almost naive ignorance about how to approach the problem, it was almost like a childish excitement for building the best product that we could possibly build, and that's what we focused on.

I think the risk when you go about it a second time is that you forget what you did right and you focus on preventing your mistakes as opposed to focusing on keeping doing what you did right.

Jessica : Yeah. Remind me, what was the landscape like back then? Who were your competitors? Who were you worrying about and what did Weebly provide that was different?

David : Yeah, I mean we were really the first to come up with this concept of this drag and drop website building. So up until that point, all the ways for people to build their own websites, which was not a very common thing to do, it's certainly not like it is today, was use a tool like FrontPage or Dreamweaver and it was basically a Word document editing interface.

They just kind of stole the interface from Microsoft Word and people would create online Word documents effectively. There was nothing that would help you create an actual web page or website. And so we pioneered this concept of you could drag and drop things on, you can build your website. It caught on pretty quickly.

I remember we had some competitors that copied us right out the gate, and one competitor actually that raised a ton of money we only raised 670K with YC's money all the way until what you'd consider kind of like a series C stage. So actually when we sold the company, we actually had more money in our bank account at the acquisition than the lifetime and primary capital we'd raised for the company.

So the business was actually cash positive over the lifetime of the company and this other competitor raised a ton of money, but just was always kind of copying our product and we were always focused on the leading edge of what we could build out and just really reimagining what it meant, even the concept of what it meant to build a website. And all those same concepts are still the concepts in use today. What is it, 18 years later?

Jessica : Do you remember? I was an early user of Weebly. I built my-

David : Yeah, I do remember that.

Jessica : Founders At Work, Carolynn, came out in 2007 and I built my own website, foundersatwork.com and it was really easy. I remember I could drag and drop photos and things, and I posted some of the interviews on there.

David : I bet you there is still a little bit of custom code in Weebly specifically, in the code base for Founders At Work. I bet you it's still there.

Jessica : No way. Wild.

David : There's a few custom things we did for your website back then.

Carolynn: That's so cute. Did Weebly do something for schools because I have this recollection of my daughter in middle school doing websites? And I think she's like, "Yeah, we're using this thing called Weebly." I was like, "That's a YC company," but maybe I'm misremembering.

David : No, no. We were pretty big in education. One of our big partnerships early on was with this thing called National History Day, and it was a competition that every school participates in that the students have to create some kind of exhibit or work on some kind of historical event or character or whatnot, and there's a lot of different formats you could do.

And interpretive dance was one submission format, but a website was another one, and if you use the website then you had to use Weebly. So that's how a lot of students got introduced to Weebly and then a lot of schools ended up using it.

Jessica : Now I want to talk about your user acquisition and growth rate because you gave a talk, I think it was at 2012 Startup School, and it was an amazing talk and it was all about how you didn't grow that fast. You just hung in there and kept at it. Most people expect to launch something and get tons of users and keep growing, but that didn't happen with Weebly. Can you tell us a little bit about that time?

David : Yeah, I mean, it took us probably four years before you could confidently point at the metrics and say things are working. And it was a long time, and I'm counting four years from the first line of code that I wrote in my dorm room in 2006. So that was a really long time, and I think there were just lots of things that had to go right.

The common question I'll get when either giving that talk or kind of talking about the story is like, what did you do? And I think it's pretty common not to know exactly what you did that created product market fit. We have some guesses. We made major performance improvements to IE6 at the time it was the latest IE browser, and that had a huge impact.

We did full, what you see is what you get, which was Paul's suggestion. Paul was hounding us, I think reliving some of the lessons that he learned through Viaweb and

was like, "No, you can't give up this idea." It was really hard actually in the browsers at the time. And Paul Buchheit was one of the key people. I remember at one dinner going to the dinner and I was just thinking about this really tricky CSS sandboxing problem.

And Paul Graham was like, "Go talk to Paul. You know he wrote Gmail, right?" I'm like, "Oh yeah, good idea." So Paul sat down and hashed it out with us for about 45 minutes and fixed the problem for us, helped us find the solution. So yeah, I think those were a few of the things that we did that eventually just became good enough that ... and then once it's good enough, then word of mouth still has to spread because you're going to that S-curve of the market where in the beginning, no one believes it's possible. And then eventually once word of mouth spreads and all of a sudden, oh wow, this is a big new thing that people can do.

Jessica : That's crazy. Do you remember when Stephen Levy, then the reporter at Newsweek embedded himself in the batch? And this was the first time we'd ever let a reporter come to anything outside of just one dinner or a demo day, sort of embedded himself as he's good at doing that in the batch and wrote this article, Carolynn, you might remember it, called Boot Camp for the next Tech Billionaires, with a B.

Carolynn: I do remember this.

Jessica : And it was like the biggest press hit YC had ever gotten. And the article focused on the Weeblies, right, kind of?

David : It focused on a few people, and we were one of them. We realized before going to meet him that he went to Penn State. So we thought that was a pretty good in.

Jessica : Oh, Stephen Levy did?

David : Yeah, he did.

Jessica : Oh my gosh, okay.

David : And then he ended up, a funny story, but he ended up shadowing us during some of our fundraising pitches, which was kind of a controversial ask. I remember asking, I think it was Steve Anderson and Mike Maples, like, "Hey, we have this reporter from Newsweek that's following us around. Do you mind if he comes to our pitch? He promises not to write anything that's like ..." and they were like, ah, this is very unusual.

Jessica : I believe it.

David : But sure.

Carolynn: Very unconventional.

Jessica : I bet they did not love that.

David : They didn't love it, but also you can't imagine it hurts. You have a Newsweek reporter following you around, that can't be a bad thing.

Jessica : Yeah. I wonder if that impressed them at all as investors.

David : Who knows? They ended up investing, so it all worked out.

Jessica : So in the article, it started with the Weeblies and it ended with the Weeblies. So I'm sorry, but you were featured and I remember they had full-length photos of a whole bunch of our startups because Carolyn, in that batch was Harge and Cole Taggar of Octomatic. Harge is now a YC partner, the Octoparts, Hysan, which had Gustav, who's now a YC partner in it.

Carolynn: That's right.

Jessica : And Zenter was in it, Wayne Crosby, who's now a part-time partner at YC. It was a great batch.

Carolynn: Yeah, no kidding.

Jessica : David, what else do you remember from that batch?

David : I mean, I distinctly remember the dinners. It was great. We'd come once a week and there was this social pressure among the startups to have made the most progress in the last week. We would demo to each other everything that we'd done. Some of the friends I made in that batch are still some of my best friends today.

Robbie was in my wedding and he was a center. And then I remember it was 12 companies, I believe. We had 15 minutes each to present at demo day, which sounded ridiculous at the time, but it was like a whole 15 minutes.

Jessica : That's long, baby.

Carolynn: That is long.

David : And then I just remember Paul would ride around on Trevor's custom hacked up

Jessica : The Segwell. The reverse-engineered Segway.

David : Yeah, the Segwell, which didn't necessarily have all the safety features built in. So if you were riding it and it died, it would just fall over and you get launched off of it.

Jessica : Oh my God, I remember that.

David : I also remember, I think it was at demo day or one of the big batch events, Trevor had one of his robots that almost fell on you. Do you remember that?

Jessica : No. What do you mean, almost fell on you?

David : It was like a big heavy standing robot that was at the entryway and you were next to it and it fell over. And it was really close to you. It almost fell on you.

Jessica : Oh, on me. It fell on me. And I remember, I think it was the one on the wheels and it did almost fall on me. I had put that out of my memory until just now. That was a bit scarring.

David : That was a bit scary. Yeah, I remember everyone was like, whoa, that could have been bad. All right, well let's keep going with demo day.

Jessica : Why? Was it just wandering around the entrance hall at demo day? What was it doing?

David : No, I think it was the same thing with the Segwell. It ran out of battery or something and it just fell on its face.

Jessica : But why was it in the entrance hall at demo day?

Carolynn: To impress people.

David : I think it was a cool thing like Trevor was building robots in the back room.

Jessica : Oh my God, I wish I had remembered that when we had, we interviewed Trevor last season and I would've given him a little bit of grief for that for almost killing me. Yeah. Oh, okay, it should work now, then it almost kills me. I do remember that. Good gracious. Okay, so then you get through YC, you're still not growing because you'd grow a little but not a lot. And you told the story once that you at one point only had \$100 in your bank account. Is that true?

David : Yes.

Jessica : When was that?

David : So yeah, let's see. To rewind on that story a bit, around January of 2008, we started looking at our burn and we're like, okay, we'll probably have to raise money around September of 2008. So we could go out and try to raise money and that would've probably been the reasonable and smart thing to do at that point in time.

And the market was actually good back then, but we said, well, what's cooler than raising money? That's just being profitable like we would've called it at the time or cash flow positive, so let's just try to launch. I mean, it was completely free at the time. There's no monetization. So we worked on Weebly Pro in June of 2008, we launched Weebly Pro.

We had Steve and Justin and all the guys over to our apartment to bet on how much money we're going to make the next day because we were so positive that with a million

users it was just, the money was just going to come flowing in and we launched it and it did not flow in. It trickled in.

And so we're like, okay, well this is going to be a bit harder than we thought, but we'll just go out and raise money. We just got in our first office in July of 2008, and if you remember what happened in August, 2008, that's when Lehman Brothers collapsed and the whole two dollar bill.

Jessica : I remember.

David : So then September, now the revenue's starting to grow a bit, so by September we're like, we're not running out of by September it's going to be November. And then we tried to go raise round and we got a term sheet, but it was just punitive terms and we just didn't want to do that. So we said, we'll just try to squeeze through. So then we weren't going to run out of money in November, we're going to run out in December.

And then around December, revenue went down for a bit for the holidays and we were like, okay, this is a little bit tough. So we cut all the expenses we could, we got out the calendar, we mapped our bank account balance day by day. We prioritized our bills to the bills that you just didn't pay, and that was fine for a while. Someone yells at you, but that's it. And the bills that when you don't pay, your servers get shut off.

And so we paid the important ones and then in January everyone comes back to work and goes through a productive period and revenue jumps. And so right between December and January, we reached cash positive status and effectively were ever since.

Jessica : That is in the nick of time. There's no way you could have planned that.

David : Yeah, I mean we got lucky that it worked for sure. I mean, there's an element of naivete you could say to go back to that around all that. But we just knew it was going to work out and either way, we knew we'd figure something out. I think if I recall at the time, we had some family members that were prepared to loan us some money, not a ton of money, but loan us a little bit of money if we needed it. I think Dan's dad was going to loan us like \$20000 or something.

Jessica : In a pinch.

David : So we had the confidence it was going to work.

Jessica : But that was January, 2009, break even. That's three years into things, right?

David : Yeah. And things were growing and we had users, but they weren't taking off. It was not exponential growth by any means.

Jessica : You said in the Startup School talk, I have it written down here, "You can't succeed if you quit." I love that because it's true. Sometimes it's just staying in the game, moving one step forward.

David : I think the hardest thing to figure out is are you doing it foolishly or are you doing it because you're being tenacious? And more often than not, I see people make the mistake of giving up too early. A lot of times, a common question I'd get, especially going back to Penn State's like, wow, how could you build something like that successful? And I'm like, well, it's not rocket science.

You just get up every morning and you make a tiny bit more progress and then you just don't give up and you just keep going. And if you keep making progress every day, eventually it looks very impressive.

Carolynn: I wanted to go back, just to clarify, you got a bad term sheet at the end of 2008 that you ended up not taking, but you'd already raised money before that, right? That's what you were basically operating on before you hit cash flow positive.

David : That's right. We raised 20K. So YC at the time was 20K for three founders, which lasted us barely for four months in San Francisco. A lot of ramen noodles, but it was totally doable. And then we raised a 650K, at the time was called a series A. It would've been like a small series A, but I think the lawyers took like 50K of that 650K.

Jessica : Oh, and it was an equity round, right, David?

David : It was an equity round. The safe did not exist yet.

Jessica : Right.

David : Yeah.

Carolynn: That's painful.

David : But it was with good investors. It was like Ron Conway when he was at Baseline, it was when he was with Steve Anderson?

Yep, with Ron, Steve Anderson, Mike Maples. Yep, Floodgate, Iden...

Jessica : Yep.

David : And I'm trying to remember who else. And there was a couple of random angels in there.

Jessica : But it was a solid round for back then.

David : Yeah. So it was us all around. I remember we were kind of jealous of Dropbox because they had a slightly higher valuation than we did, but we raised 650K on a two million pre to put that in perspective.

Carolynn: Wow.

David : So 2.65 posts. And I mean, that's one of the things that I bring to founders today, that perspective is of course founders are going to obsess over valuation, and we certainly did, just like everyone does. But I think the big difference in founder outcomes isn't the valuation that you get at any given round.

It's when you exit or you go public, did you raise a series C or did you raise a series G, right? It's the number of rounds that you end up raising determines your overall ownership. And plenty of companies got very big in a very capital efficient way, didn't raise a ton of money, but they just didn't have to raise that many rounds.

Facebook's a great example. Zuck has maintained a huge amount of ownership because he didn't have to raise that. I mean, he did raise a lot of money in absolute terms, but he didn't raise ... He built a lot of value with very little money, let's say. And you have other counter examples of founders. There's one just the other day that sold for \$450 million and the founders didn't make a cent.

Jessica : Oh, man.

David : You feel so bad about that but then you look at how much they raised and they effectively raised the same amount of dollars that they sold for. And so their pref stack ate it all. But it's just, I think capital efficient growth is how you build value as a founder. And that's not to say don't go big and shoot for the moon because you should. But I like to say that you don't get diluted when you raise money, you get diluted when you spend it inefficiently.

Jessica : I was just about to say, that company had to have just bled money, just irresponsibly.

David : Yeah. I, and it's really easy to do. Once you raise it and it's in your pocket and there's all this pressure on growth and it's really hard, you always want your growth to be growing, and it's really hard to make a financially prudent decision that causes your growth rates to go down, it feels like that's the start of a death spiral.

There's all this pressure on you from you feeling like the employees are going to leave, the whole house is going to collapse, and there's so much pressure to just say, hey, maybe a two or three year payback on sales and marketing is okay instead of an 18-month payback. And it's really hard to have the discipline to not spend the money that way.

Jessica : Ryan Peterson of Flexport, who we were just talking to the other day, was saying that the day after his first big round that he raised, even though he wanted to be disciplined with the money, he's like, "I spent 50 grand on turning a container into this cool exhibit at a conference." Right, Carolynn? It was funny.

Carolynn: Yeah, it's just so tempting to spend that money when you have it, and it does take so much discipline not to.

David : The employees, their perspective changes too. I remember the first really nice office that we had and that we moved into the one in Soma, we built this huge office and I wasn't trying to make it that nice. And we were pretty reasonable on all of our expenses.

We made good choices on cheap materials and cost-efficient choices. But the first day I walked into the office I was like, "Oh, shit," because it was really nice. And everyone, when they moved into that office, we fought as hard as we could against it, but people's perspective kind of changed. It was like, oh, we've made it. We're the big dog now.

Carolynn: You guys were the anchor tenant, weren't you the anchor tenant? Because I think, yeah, I remember seeing it on the building, your name.

David : And you know who's there now, is Scribd and Trip.

Carolynn: Oh, no kidding.

Jessica : No way. Trip, we've got to get him on the podcast because I think we figured out he's like the longest running YC, CEO of a company that we funded continuously.

David : He's got one of the best stories.

Jessica : Yeah.

Carolynn: Well, he was also in the Yscraper, right? The Scribds lived there too.

Jessica : Yeah. So in 2018, Weebly gets acquired by Square. Are there any stories around that that are worth sharing?

David : Yeah, I think the thing about the acquisition that was interesting is that we told employees and they're like, yeah, that makes sense. And we told the press and they're like, yeah, that makes sense. No further questions. When does the press ever not try to grill you on something and have more questions for you?

But it was just like, yeah, that makes sense. You guys were both focused on commerce and Square was the in-person moving online and Weebly was the online moving in person. And I think the thing that's somewhat unique about that acquisition and both sides actually worked really, really hard on this is across almost all dimensions, it has really worked out.

I mean, a lot of the team is still there at Square six years later. My number two from Weebly is still running the e-commerce functionality at Square. The whole underpinnings of a lot of any online commerce at Square is all the Weebly code base, which has been rebranded to Square Online. So it was a lot of work, but when the acquisition happened, I think it was 99.5% of the team came over and joined.

Jessica : Wow. And I was going to say, if a founder works for an inquirer for several years like you did, it means that they must have found it interesting because that's very unusual. So what did you like about working at Square?

David : I mean, it is an awesome company. The values were remarkably the same. A couple of days before we were announcing it to the team, I pulled up a slide and I put Square's kind of four values and Weebly's four values next to each other. I was like, holy shit, these are the same. There's a one-to-one match here.

Jessica : Oh, wow.

David : Which was crazy. And so I think from the people's side, that was really smart. I mean, Square looked at a lot of options and ultimately said it's going to fail if the people side fails. And so that was one of the big considerations. And I think it was just an excellent company, made really good decisions, and had good internal processes.

I mean, I always wanted to kind of see what excellence looks like at that next level. Weebly was 350 people and Square was like 3,500 when they were acquired, so about 10%. And I wanted to see, what does it look like at that next scale? Some of the problems that I was struggling with are just internal to the company, what do those look like when they're solved? And it was just fascinating. I think any company has things that can be improved, but I have nothing but great things to say about Square.

Jessica : Was Jack Dorsey splitting his time back then between Square and Twitter? Did you notice anything about that?

David : I think what's kind of funny, and this doesn't relate to Jack, this relates sort of to me, but as I was sort of getting ready to leave over a few years and I kind of knew roughly what timeline I had in mind in essence, started working myself out of a job on purpose and I wanted to delegate and push more things to the team that would've typically been my job, but I really wanted to get them the experience and help coach them through some of this stuff.

And what I thought was absolutely fascinating is that eventually before I left, I was only working maybe 15 or 20 hours a week. I had taken almost everything off my plate. But what I thought was fascinating is that I was one of the most effective that I've ever been as an executive. And I think that the lesson for me there was that I think founders have so much wrapped up in their companies.

You have identity, you have obviously financial elements, you have all this stuff wrapped up in your company, and so you sometimes take out all that existential stress on just like, I'm going to work 24/7 and every waking moment and I'm going to make this company the best it can be to make it the most successful it can be. I don't know that that's always the most productive for the team, for your team.

Because sometimes they're not able to focus on their work when you're constantly bringing things up and they're constantly fighting fires that you're putting on their plate.

So I think that there is a certain zen to being able to say, I'm going to do all the important stuff that needs to get done and then I'm going to let my team focus and be productive and get the work done.

Carolynn: The less is more lesson. And I guess the hard part for the founder is when do you transition from the extreme passion to the I'm actually more effective when I'm not doing as much.

David : I think one of the things that you can do as a founder and really anyone, is I like to target 50% unscheduled time in my week a minimum. And it seems impossible, but some of the most successful people in the world that I've met have plenty of unscheduled time and it forces you to prioritize.

And I think it also gives you the time to think and to write and to be thoughtful and strategic that you don't have if you're just going to back to back meetings all day. So again, I'm not relating that story to say that's what Jack was doing, but I think what he did really well, despite the fact that he was splitting his time, is that he hired phenomenal people. And if you hire really phenomenal people, you can give them a pretty long leash to go and run things.

Jessica : I'm thinking of the maker's schedule versus the manager's schedule. And if you're making something, you need free time, long chunks of time.

David : We actually reference that essay in Weebly's company handbook.

Jessica : Of the Weebly handbook?

David : Yes.

Jessica : So now I want to move to more current stuff. I want to talk about your climate fund. Tell us when it got started. It's called Leap Forward.

David : It's called Leap Forward. So I've been getting really involved on the climate side mostly through nonprofit and politics work and policy work since about 2017. So that's where I've really come up to speed and kind of understood the space, but I just started the fund last year.

So we are relatively new in that sense, but it's really just a classic like someone who's been there before who can help guide you around the multiple turns, who has seen what it's like to grow a company from zero to 350 people and beyond and be a partner there.

And especially in climate, there's a lot of new entrepreneurs. Some of the smartest, most motivated people in the world are going into climate tech. But I think there's a big need for people who can just help shortcut that process and avoid some of those mistakes.

Jessica : I love this. We interviewed Bill Clarico who as you know has a fire tech fund. And I just love that someone is out there focused on funding these startups that are helping the environment because it's sort of implicit proof that startups can do good for the world, but also make money. They don't have to be nonprofits.

David : I mean, I think what's really changed over the last effectively since this sort of clean tech, which I think is kind of the .com of climate, is just way too early, it was about 10 years too early, and what's changed since then is that basically all these technologies have just gotten a lot cheaper. Solar has gotten cheaper, heat pumps have gotten cheaper, batteries have gotten cheaper.

Now they're in vehicles, now they're in homes. Some of these needs around wildfire are more urgent. And so what that means is that you're no longer selling people and just saying, hey, do this because it's good for the planet and it is good for the planet. And that's a great motivation to have. But now the point is, do this because EVs are cheaper to operate, cheaper to maintain and increasingly cheaper to buy.

And so you're now tapping into people's just sheer self-interest in terms of this is economically rational for people to do. And I think that's the main driver that we're seeing now in terms of what's going to be like a 20 to 30 year transition. I think this is the biggest economic shift that we're going to see in a very long time. AI is probably the other major trend that's going to cause a huge amount of disruption, but this is going to completely reshape the physical world.

Carolynn: Can you tell us about some of the companies that you funded, like what they're doing?

David : Yeah, so a couple companies. One of them is called Blue Dot. So we made 12 investments last year. And Blue Dot's great because it's a kind of a rewards card. It's kind of like Cash App that I knew really well at Square, but it's a rewards card for EV charging and it basically makes the whole process easier.

If you don't own a Tesla, charging can be really hard. It makes that whole process easier. You can save money and they also help small fleets. So if you're a contractor and your driver drives a truck home at night, you need a way to compensate them for charging that truck at home. And so Blue Dot's able to connect in with the card APIs and help with the fleet management side of things.

Jessica : What else? That's very cool.

David : One other company that I'm obsessed with, I love the founders actually, they're a YC company, I don't know if you have heard of them or met them, but it's Helios/Electric Air. They're rebranding the Electric Air. They are basically working to build the first national scale residential HVAC contracting company.

So this has happened in commercial, but it hasn't happened in residential. And they are installing heat pumps today for about 50% less than you'd get anywhere else. And the way that they're doing that is they're bringing, one of the founders worked SpaceX as a

rocket engineer, one of the founders worked at Tesla as a heat pump engineer, and then the other founders worked in Home Energy, but they're basically bringing that extremely rigorous SpaceX aerospace operational excellence to just completely being ruthlessly optimizing the heat pump installation process.

Jessica : Wow.

Carolynn: Non-sexy but important.

David : It is one of the biggest swings that I've ever seen a company take. Heat pumps, residential heat pumps in the US alone are \$40 billion a year and growing rapidly.

Jessica : This is a very broad question, so you might not be able to answer it, but do the startups you're funding combating some element of climate change, do they face any unique problems?

David : There's lots of different unique problems. I think one of the ones that people ... if it's more on the sciency side, there's some pretty big problems crossing the chasm from bench scale, prototype to the first commercial scale. And then once you kind of get to that first customer, first commercial scale, you show that all the numbers work, that the technology works, all that stuff, then typically you can raise a lot more funding and there's a lot of funding available to then go expand and scale it out.

But it's really hard to get from, there's a lot of companies that operate on this bench scale, really small test scale, and it's really hard to scale up and cross that chasm. So that's one for companies that are kind of building new tech or working on new science, but for a lot of companies in the energy space, it's remarkably similar to software companies.

It's really just about navigating how to be smart about your capital requirements because it is a little bit more hardware focused. So can you come up with a clever strategy to not need to, for example, do you need scale to get good unit economics? That's going to be tough, right? But do you have a strategy to sequence over time and get to good unit economics? I think a lot of companies are able to do that and then they're really not that different from software companies.

Jessica : Interesting. Okay. I think it's really cool actually that like you and Bill Clerico and Yuri Sagalov who we just interviewed on the podcast, now you're all shifting to having your own funds and I feel like you're making the investment world a better place because you know what all three of you have in common besides being smart and talented? You're all nice people. It gets me very excited.

David : Well, it's interesting to me because climate tech right now feels exactly the same as Silicon Valley did when I moved out in 2007.

Jessica : Early.

David : It just has exactly the same vibes. And you remember those times. Those were some of the best times. They were fun because everyone was just in it for the right reasons and just this sheer excitement to be working on what they were working on. Yeah, those were great times.

Carolynn: The other characteristic I'll add to the list you just mentioned was that they're all patient, all three of those, they were all founders and they all understand that this takes a while. So that's another thing that you guys all get.

Jessica : I would want you as my investor, David, for sure. Is there anything that you took away at all from your experience in YC or your experience with your investors about the way that you invest now?

David : Yeah, I think YC was a real turning point for us. We were just three kids out of school. We had no legitimacy at all. We really desperately needed some of the received wisdom from the Valley that wasn't really that available online at the time. And then we really needed that ability to, not the permission, but really the ability to go work on it full time because I think that makes a really big difference.

So those were some of the things that were really important for us from YC. What eventually we learned being out in the valley is really, there's a huge difference between great investors and bad investors. And bad investors are actively harmful. And sometimes we picked up some bad investors randomly through acqui-hires and stuff like that where we didn't, and then you sort of see some of this behavior and you're like, holy shit, this is not good.

So I think just in general, the type of investor that I want to be is really understanding what the founder's going through and being there for them and not making it about yourself, but it's like, hey, I'm here to support you. I'm here to let you focus and do the work, so I'm not going to bug you. I'm not going to ask you for all kinds of updates or all kinds of things.

And when you don't need me, that's great. You just focus on your work. You've got a lot on your plate. But when you need me, I'm there to help and I'm going to really push alongside and do the best I can to help and then otherwise be supportive. Ultimately, it's up to the founder to will it into existence and there's no amount of bopping the founder on the head with a hammer that's going to get them to do anything differently.

It's really about supporting them and helping them through the tough period of what it's like growing a company, especially when the market's early and you're just trying to navigate all that and create a new market. It's so challenging. I joke that startups are long form torture and any founder I've ever told that to laughs a ton because they get it.

Jessica : Laughs ruefully. So do you have any partners at Leap? Is it Leap Forward Ventures?

David : Yes.

Jessica : Okay. Do you have any partners there or just how big is your team?

David : Yes, there's a few of us, but Jessica's the main person that I work with. She's a venture partner. She's also a two time entrepreneur.

Jessica : Jessica who?

David : Jessica Altar.

Jessica : Oh, was she a founder?

David : She was a founder, I don't believe at YC, but she has started two companies and also has held a very senior VP of business development role at Figma. So she's really great. We're very complimentary in the sense she brings a lot of go-to-market expertise and I have more of the engineering and the product side.

Jessica : Awesome. So you make a good team.

David : I always like to say that building teams is like putting the puzzle pieces together. You're not looking for the same piece, you're looking for different pieces that complete the puzzle.

Carolynn: So I'm going to ask, it sounds like because you have this next phase of your life and it sounds like you're really enjoying what you're doing, so you're not sitting there thinking, what is my next startup? Do you feel like you're done with startups or would you just never say never?

David : I feel done.

Carolynn: Oh, you do?

David : Okay. I'm just going to straight out and say it. Weebly was 16 years all in. So when I start something, I do it for a while and I think there's a great opportunity to, as much as I think there's the pull of trying to be the star on the field and being the player on the field, I think there's also a lot of value to having the wherewithal to understand that that was a part of your life.

And now there's also a lot of value in helping to be the coach and helping to, you're not the star on the field, that's not your role, but you're basically a great coach who can help teams be way more effective and way more successful. And I think that's the next 16, 18 year journey.

Jessica : And you have two sons now, right?

David : Yes. Seven and four.

Jessica : Oh, such amazing ages. Those were the exact ages of my boys when we moved to England. It's a magical time.

David : It's such a great age. I feel like when our youngest turned three to four, then the clouds parted, the sun started shining through, we were sleeping again.

Jessica : Having a fund is slightly more compatible with being a dad, I think.

David : Well starting, I would never compare it to starting a company, but starting a fund is also a hell of a lot of work. And it's fun. It's been fun getting back into the habit of putting the kids to bed and going and doing another couple hours of work and working on the weekend.

And really it's important for me at least for my kids to see what hard work looks like. I think kids model a lot off of their parents and they take a default assumption of what success looks like, what hard work looks like, but it is a great age. It's so much fun spending time with them and doing all the things together.

Jessica : Awesome. Well, David, thank you for being on the show today. It was so much fun hearing all the old stories.

David : Well, thanks for having me. This was fun.

Carolynn: It was great to see you.

Jessica : Thank you again. It was so much fun.

David : Awesome.

Carolynn: Thanks David. Bye.

Jessica : Bye.

Carolynn: It was so great to talk to David. He is so wise, I think. He's just been through it all and he's really, he has a lot of really good perspective.

Jessica : He is wise. He was always wise though. He's an old soul and he's so nice. I really have not seen him in person for a few years and it was so fun catching up with him. And I'd forgotten half of those silly stories. And I'd forgotten that they only had \$100 in their bank account. Holy smoke.

Carolynn: Yeah, that would be really nerve wracking. Just the fact though, that they just were patient enough to wait to get to cash flow positive before they pulled the trigger, raised a bunch of money in a panic. That's what I mean when I say he seems really wise. He just seems like he figures stuff out and is willing to take time, which isn't true of everybody we talk to or every startup we observe, like everyone says, the pressure can really get to you.

Jessica : Oh, it really can. But he handles the pressure very well, and he has always been calm and pragmatic, which is a good quality in a founder because you're going to get thrown disasters left and right like only having a hundred bucks in your bank account and you have to pay your bills. I love that story about breaking out a physical calendar and figuring out, well, which bills will they cut the server off if we don't pay this? Okay, we better pay that, but we're just going to get a late fee, so don't pay that.

Carolynn: I mean, that story is sort of similar to what we heard from Kyle and Emmett to some extent, that that was just what startups were, they were all kind of in that same vein. That's how they all survived. I mean, it's a coincidence that they were all also in the same apartment building, but that was kind of their MO, all of that era of startups and probably true for startups today too.

Jessica : Every startup needs to know how much runway they have and can they spend and be so disciplined about spending money because every dollar you spend is less time to stay alive, and in the Weebly case, staying alive just for that one month was critical because then they became cash flow positive. It's incredible. And they were just always such a pleasure to be around and to interact with. I love the Weeblybles.

Carolynn: Yeah, that's great.

Jessica : I miss them. Well, I think it's going to be a really interesting episode, and it'll be fun when that comes out.

Carolynn: It will be.

Jessica : So, I will see you next time.

Carolynn: Okay, next time. Bye.

Jessica : Okay, bye.